

DECENTRALIZED MASTERS

MARKET UPDATE

Thursday Extended Edition

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Decentralized Masters

BTC \$69,500

IRAN ESCALATING

BESSENT BUYBACK

ETF \$517M DAY

JH IN 7 DAYS

Bitcoin

\$69,500

+7.8% in 24h

Ethereum

\$2,250

+18% in 24h

Brent Crude

\$92

+4 sessions

30-yr Yield

5.196%

-9bps on Bessent

● Three stories converged this week — and they interact

Iran MOU expired → UAE hit by Iranian missiles → Brent \$92. Bessent doubled long-bond buybacks → yields fell → dollar-debasement read → Bitcoin broke \$65,600 for first time all year. Policy week: WBS, White House, SEC, CFTC all moved simultaneously toward a crypto-friendly framework.

● This is the biggest week for crypto markets since the ETFs launched

Bitcoin is at \$69,500. ETH is up 18%. \$1.44B in shorts were liquidated in a single session. \$517M in ETF inflows in a single day — the biggest since May. Ethereum ETF inflows of \$189M — the biggest since October 2025. The breakout was real.

● The counterargument hasn't gone away

Brent at \$92 means August CPI — due September 10-12, two days before the FOMC blackout — will show energy re-acceleration. The FOMC minutes this week confirmed: September hike is 'appropriate if August CPI shows energy-driven re-acceleration.' Oil is the swing variable.

● The next 7 days define the year: Nvidia Aug 26, JH Aug 28

PCE drops August 26. Nvidia reports the same evening. Warsh's first Jackson Hole keynote is August 28 — his 20 minutes are the tiebreaker for September. The week after that is the September FOMC setup.

IRAN MOU EXPIRED AUGUST 17 — THE CONFLICT RESUMES

Jun 17

MOU Signed

60-day window begins; Hormuz partial opening

Aug 7-10

Oman Talks

Iran-Oman bilateral; shipping route discussed

Aug 17

MOU EXPIRES

Deadlock; no final agreement reached

Aug 18-19

Escalation

UAE hit; missiles; three ships turn back; Brent \$92

WHY THE DEAL FELL APART — AND WHAT COMES NEXT

● Two incompatible frameworks

US: the MOU was a 60-day negotiating window. Iran: the MOU was a permanent end-of-war agreement that the US was already violating by keeping its naval blockade. No path to reconcile these.

● Iran's non-negotiable condition

Hormuz stays closed as long as the US maintains its naval blockade. That is a firm demand. The US has shown no appetite for lifting the blockade without a nuclear framework deal.

● Trump's Oman threat + Hormuz claim

Trump threatened to attack Oman, said the US plans to declare Hormuz a US territory 'after we finish defeating Iran.' UAE now economically isolating Iran. Conflict scope expanding.

● Active mediation: Pakistan, Qatar, Oman

Indirect channels are still open. Iran-Oman bilateral on transit routes. Pakistan exchanging messages. But without US-Iran direct talks, no resolution is near.

UAE HIT; BALLISTIC MISSILES; BRENT ABOVE \$92

BRENT CRUDE — THIS WEEK

● Jul 29 peak	\$102
⋮ 13 nights US strikes	
● Aug 6	\$88→\$75
⋮ Hormuz deal optimism	
● Aug 10-17	\$82-88
⋮ MOU expiry risk priced in	
● Tue Aug 18	\$90+
⋮ UAE suspends Iran transactions	
● Wed Aug 19	\$92
⋮ Iranian missiles hit UAE	
● Today Aug 20	~\$92
⋮ No talks; blockade continues	

ESCALATION EVENTS AUG 17-20

- UAE suspended all financial/economic transactions with Iran
- Iranian ballistic missiles struck UAE territory — first time
- Three China-linked supertankers turned back at Hormuz
- Pentagon confirmed firing on Panama-flagged cargo vessel
- Trump: 'no ongoing talks'; naval blockade remains indefinite

WHAT \$92 BRENT MEANS FOR SEPTEMBER

- August averages ~\$90+ Brent → energy component re-accelerates
- August CPI drops Sep 10-12 — two days before FOMC blackout
- FOMC minutes: Sept hike 'appropriate if energy drives re-acceleration'
- Each \$10 Brent = ~0.3-0.4% CPI. \$92 vs \$75 in June = ~0.5-0.7% uplift
- Bull case for oil: Iran-Oman bilateral closes → Brent \$82-85 → CPI relief

OIL IS THE MASTER VARIABLE. Every \$10 sustained Brent move = ~0.3-0.4% in CPI. August CPI (Sep 12) drops 4 days before FOMC blackout. This is the swing variable for September 16-17.

BESSENT DOUBLES LONG-BOND BUYBACKS — THE BIG TOOLKIT

BEFORE (Aug 19 morning)

5.26%

30-year Treasury yield — near a 20-YEAR HIGH



AFTER BESSENT (Aug 19 PM)

5.196%

−9bps in one announcement

WHAT BESSENT DID — AND WHAT IT IS (AND ISN'T)

- **What he did:** Doubled long-bond buyback ops: \$2B → at least \$4B per operation. Targets 10-to-30-yr Treasuries. Running Sept 9 through Nov 4. Both 30-yr and 10-yr yields fell immediately.
- **What it is:** A soft ceiling on the 30-year yield. Bessent signaled: long-end yields above 5.2-5.3% are intolerable to the Trump administration, and Treasury will act. Investors heard that signal.
- **What it isn't:** This is NOT a debt paydown. Total quarterly buyback allocation stayed at \$38B — unchanged. Bessent redirected where the money buys, not how much. The \$40 trillion debt load is unchanged.
- **Evercore vs critics:** Evercore: 'tactical skill on a thin-liquidity August day.' Peter Boockvar: 'just rearranging the maturity schedule.' Both are correct. It's tactically brilliant and structurally insufficient.

WHY BESSENT MOVED BITCOIN — THE DEBASEMENT CHANNEL

THE SIGNAL CHAIN: Bessent suppresses long-term yields → markets read it as dollar debasement → Bitcoin (the purest scarce-asset in the financial system) absorbs the difference

● Long-yield suppression = debasement signal

When the government uses its balance sheet to prevent long-term yields from normalizing, it signals that the real long-term return on government bonds is suppressed by policy decision — not by market forces.

When real returns on government debt are held below market-clearing rates, capital seeks alternatives. Gold did this through every round of Fed QE. Bitcoin is increasingly traded in the same framework.

● Why Bitcoin specifically — not just gold?

Bitcoin has the same scarcity property as gold (fixed supply, 21M coins), but it trades 24/7 with global instant settlement, and it has the ETF structure that makes it accessible to institutional allocators in a familiar format.

The \$517M single-day ETF inflow on Aug 19 — the biggest since May — is the mechanism: institutional allocators responded to the debasement signal by buying Bitcoin through BlackRock's IBIT. That's the new pipeline.

● 21Shares research put it plainly

'When markets smell quantitative easing, Bitcoin moves.' The Bessent buyback wasn't QE in the strict sense. But markets price the direction of travel, not the technical definition.

The \$40 trillion debt milestone simultaneously announced this week adds to the durability case. A government that has crossed \$40T in debt is one whose long-term bond is structurally challenged. Bitcoin is the obvious hedge.

FOMC MINUTES: 9-3 CONFIRMED + CONSUMER EARNINGS

FOMC JULY MINUTES — KEY DETAILS

9-3 Vote confirmed

Three dissenters: Hammack (Cleveland), Kashkari (Minneapolis), Logan (Dallas). All three explicitly argued the data warranted a 25bp hike at the July meeting.

The conditional language

September hike is 'appropriate if August CPI shows energy-driven re-acceleration.' This is not a commitment — it's a conditional. But it tells you what they're watching.

What the majority said

The majority cited supply-side inflation (oil/war-driven) rather than demand-side excess as the primary driver. Supply-side shocks are harder to fight with rate hikes.

Warsh's communication style

Minutes confirmed Warsh has moved away from forward guidance. He will not pre-commit at JH. Markets have to infer from data sequence. That uncertainty itself has market value.

Inflation watch: beyond energy

Portfolio management services +6.5% in July PPI — a PCE-relevant component. The July PCE report Aug 26 will be the first test of how non-energy core behaved.

CONSUMER EARNINGS — RETAILER PULSE

Walmart

In-line

Essentials holding; discount trade up; raised FY guide

Target

Slight miss

Discretionary down; traffic flat; inventory lean

Home Depot

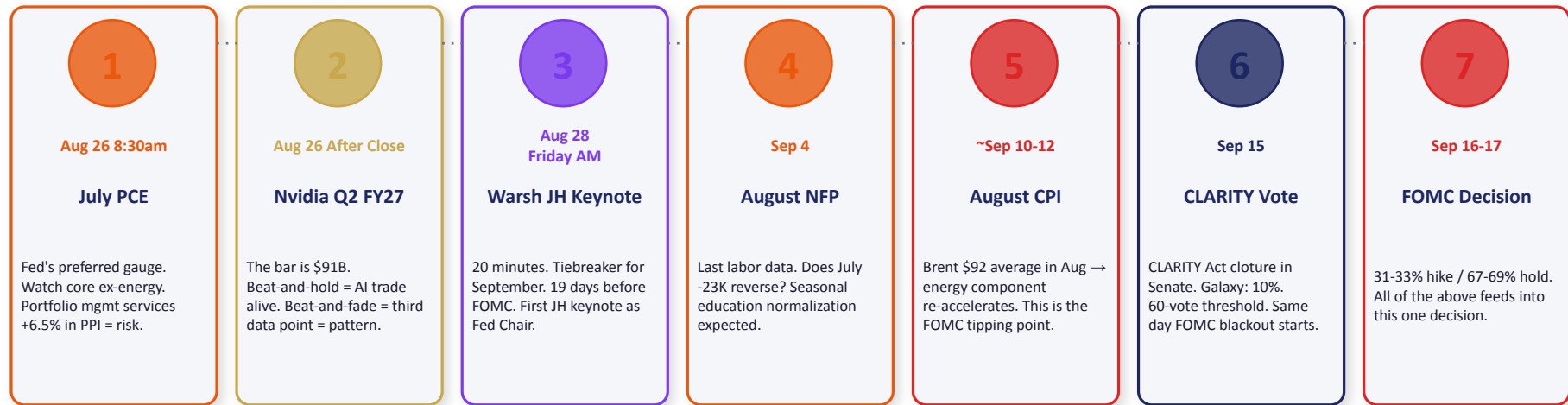
Slight miss

Big-ticket constrained by mortgage rates; housing soft

Consumer read:

- Spending rotating from goods to services/experiences
- Big-ticket and housing-linked categories under rate pressure
- Discount and value formats gaining (Walmart up, Target flat)
- Consistent with -0.6% retail sales miss on July data

THE 14-DAY GAUNTLET — THE MOST IMPORTANT SEQUENCE OF THE YEAR



WHY NVIDIA AUG 26 + WARSH AUG 28 ARE THE 24 HOURS THAT MATTER MOST

- Nvidia evening → Warsh morning:** Nvidia reports Wednesday evening. Warsh speaks Thursday morning. Two of the most anticipated events of the summer land within 12 hours of each other.
- Beat-and-hold → Warsh balanced:** If Nvidia beats and holds, risk appetite is high going into JH. Warsh can afford to be balanced. September hold stays at 67-69%. BTC tests \$75K.
- Beat-and-fade → Warsh hawkish risk:** If Nvidia beats and falls (3rd data point in the pattern), risk-off mood enters JH. Warsh's slightest hawkish lean amplifies. September re-opens to 50%+. BTC retreats.

CONSUMER EARNINGS READ — WHAT RETAILERS TELL THE FED

Walmart

In-Line

Raised full-year guidance on strength in grocery and essentials. Discount trade-up from higher-income consumers is a key trend — people shopping more carefully, trading down on brands.

Target

Slight Miss

Discretionary categories soft; traffic flat. Maintained cautious inventory discipline. Seeing pressure in electronics and apparel — consistent with debt-burdened consumer.

Home Depot

Slight Miss

Big-ticket contractor and renovation projects constrained by 6.67% mortgage rates. Housing market stagnation showing up in HD results. Pro segment held better than consumer.

Lowe's

Beat

Pro contractor segment strong; AI-driven infrastructure installation work is a new tailwind. Smaller-ticket maintenance and repair items are holding better than large renovation.

WHAT THE RETAILERS TELL THE FED

- **Consumer is bifurcating:**
- **Rate sensitivity is real:**
- **For the Fed: a softening consumer reduces hike urgency:**

High-income still spending on services and experiences. Middle and lower-income trading down on brands, cutting discretionary. This is not a consumption collapse — it's a rotation and bifurcation.

Housing-linked categories (HD, Lowe's) clearly feeling 6.67% mortgage rates. Big-ticket discretionary constrained. Rate sensitivity has been slow to show up in data; it's showing up now.

A consumer that's pulling back voluntarily is doing some of the Fed's work for it. Warsh may lean on this at JH as part of the case for patience. That's the balance he needs to thread.

CRYPTO OVERVIEW: BTC \$69,500 — THE BREAKOUT WEEK

Aug 20

Bitcoin

\$69,500

+7.8% in 24h

Ethereum

\$2,250

+18% in 24h

XRP

+10%

Week, \$1.10+ level

Crypto Mkt Cap

\$2.45T

+7.8% in 24 hours

THE WEEK'S CRYPTO STORY — THREE DRIVERS, ONE BREAKOUT

DRIVER 1 — Bessent Treasury Buyback

Long-yield suppression → dollar debasement signal → scarce-asset bid. Bitcoin is the market's preferred expression of this trade. \$517M flowed into Bitcoin ETFs within 24 hours of the announcement. The institutional channel worked exactly as designed.

DRIVER 2 — Short Squeeze (\$2.7B liquidation)

\$1.44 billion in short positions were forced to cover in a single session when Bitcoin broke above \$65,600. The self-reinforcing loop: price up → margin calls → forced buying → price up → repeat. This is the mechanism, not the cause.

DRIVER 3 — Policy Week Institutional Signal

White House hosting crypto executives, SEC proposing \$75M exemption, CFTC launching Innovation Advisory Committee, WBS with Atkins + Senate Banking Chair all in one week. The coordinated policy signal gave institutional buyers permission to add exposure.

THE \$2.7B SHORT LIQUIDATION — HOW THE BREAKOUT HAPPENED

THE SHORT SQUEEZE MECHANISM

- When BTC broke \$65,600 with momentum, traders with leveraged short positions (betting on BTC falling) got margin calls.
- To avoid liquidation, they had to BUY Bitcoin to close their short positions — exactly the opposite of what they wanted.
- This forced buying pushed the price higher. Higher prices → more margin calls → more forced buying → more price gains.
- The loop ran until the most leveraged shorts were flushed out. \$1.44B in one session. \$2.7B over two days.
- This is why breakouts after long consolidation periods (BTC was boxed for months) tend to be violent: maximum shorts are built up, minimum spot buyers are needed.

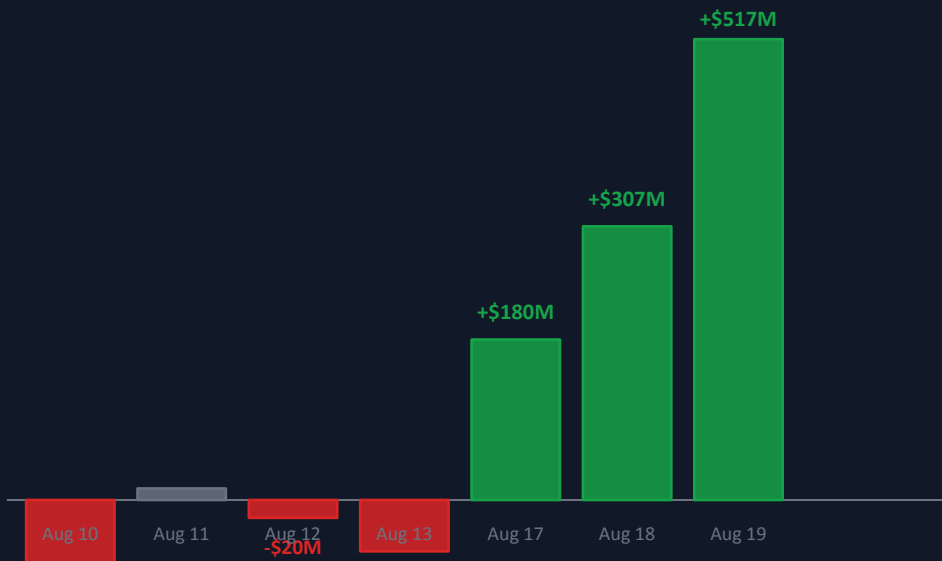
ETF FLOW DATA — AUG 19 SNAPSHOT

Total BTC ETF Aug 19:	\$517M — biggest day since May 4
BlackRock IBIT:	\$284.7M (55% of total inflow)
ARK 21Shares ARKB:	\$77.7M
Fidelity FBTC:	\$62.4M
ETH ETFs Aug 19:	\$189M — biggest since Oct 2025
Combined ETF net assets:	\$84.31B (6.08% of BTC market cap)

IS THE BREAKOUT REAL? THE DURABILITY TEST

- **Short squeeze → organic demand?**
The initial move was primarily forced-buying. The \$517M ETF inflow is genuine organic demand — institutional, not retail. The question is whether Day 2/3/4 of ETF inflows sustain.
- **The critical confirmation signal**
A second and third day of \$200M+ Bitcoin ETF inflows would mark the sustained institutional bid the market has been waiting for. Weekly data drops Monday. Watch the number.
- **BTC has faked this range before**
Bitcoin broke \$65,000 multiple times this year and pulled back. The difference this time: Bessent changed the macro narrative, policy week changed the regulatory narrative, and both happened simultaneously.

ETF FLOWS: \$517M AUG 19 — BIGGEST DAY SINCE MAY



3-DAY TOTAL

\$517M

Biggest single day since May 4

IBIT: \$284.7M (55% of total)

ETH ETFs: \$189M — biggest since Oct 2025

WHAT THE FLOW DATA MEANS

Aug 10-14 was net negative — 4-week inflow streak broke. Week of Aug 17-21 (Aug 17-18 ~\$487M, Aug 19 alone \$517M) is tracking toward \$1B+ — the strongest single week since products launched.

ETH ETF \$189M is the most significant signal. When institutional flows rotate from Bitcoin-only to ETH, XRP, SOL — it suggests portfolio allocation, not just a macro hedge. That broadening is new.

WYOMING BLOCKCHAIN SYMPOSIUM + WHITE HOUSE + SEC + CFTC

Wyoming Blockchain Symposium

Aug 17-20
(TODAY)

- Invite-only; ~500 investors, builders, policymakers; co-hosted by SALT + Kraken
- OCC Comptroller Jonathan Gould spoke
- SEC Chair Paul Atkins spoke — signaling continued agency guidance track
- Senate Banking Chair Tim Scott (R-SC) spoke
- Senators Lummis (R-WY) and Gallego (D-AZ) both participated
- Gallego = one of the critical Democratic votes for CLARITY Act

White House Crypto Meeting

Wednesday Aug
19

- Trump hosted crypto executives and tech leaders
- Closed-door session; executive-level signal of engagement
- Followed by SEC proposed rules the same week — coordinated
- White House engagement has historically preceded regulatory clarity
- XRP's position near ATH partially driven by this signal
- Industry participants included Coinbase, Ripple, Circle leaders

SEC Proposed Crypto Rules

Monday Aug 18

- New exemption: up to \$75M/year fundraising without full registration
- Up to \$5M over 4 years with lighter disclosures (retail-accessible)
- Atkins operating through rulemaking rather than waiting for CLARITY
- Not as durable as statute — reversible by next administration
- DeFi safe harbor proposed today (Aug 20) — details still emerging
- This is the 'agency guidance as alternative path' we predicted

CFTC Innovation Advisory Comm.

Thursday Aug 20
(TODAY)

- First meeting of newly constituted CFTC Innovation Advisory Committee
- Public event — unlike White House meeting
- Agenda: crypto regulation, prediction markets, artificial intelligence
- Signals CFTC actively building expertise in digital asset oversight
- This completes the regulatory trifecta: SEC + CFTC + White House
- Galaxy: even with CLARITY stuck, agencies are filling the vacuum

SEC'S \$75M CRYPTO EXEMPTION — WHAT CHANGES FOR THE INDUSTRY

THE PROPOSED RULE — WHAT ATKINS DID

- **New exemption tiers**
Crypto investment contracts can raise up to \$5M over 4 years (with lighter disclosures) or up to \$75M per year (with additional disclosures) without full registration.
- **Who this helps**
Previously: full SEC registration OR Reg D private placement (accredited investors only). Now: a public exemption pathway for crypto projects to raise broadly.
- **Atkins' broader strategy**
This is rulemaking as an alternative to legislation. Atkins is building a workable crypto framework through agency action — not waiting for CLARITY Act to pass.
- **The durability issue**
Agency guidance can be reversed by the next administration. Industry prefers statute (CLARITY Act). But functional guidance beats regulatory vacuum.
- **DeFi safe harbor**
SEC also proposed a DeFi safe harbor today (Aug 20) — details emerging. Signals Atkins is building a comprehensive regulatory architecture, not just patching.

BEFORE vs AFTER

BEFORE:

Full SEC registration (expensive, slow, designed for stocks) OR Reg D (accredited investors only, no retail access). Most crypto projects chose to ignore SEC and face enforcement risk.

AFTER:

A public fundraising pathway at \$75M/year with disclosures. Retail investors can participate in compliant token offerings. Projects have a legal path that doesn't require the CLARITY Act to pass.

THE CLARITY ACT PARADOX

- Atkins providing meaningful agency guidance may actually reduce CLARITY Act passage odds.
- If the industry is getting workable regulation through SEC/CFTC rulemaking, some Senators see the bill as less urgent — reducing the political pressure needed to clear 60 votes.
- This is the unintended consequence: regulatory progress makes legislative success harder.
- For investors: agency guidance is real, functional, and already being priced into the market. Statute would be better — but this is enough to sustain the current institutional bid.

CLARITY ACT: 10% ODDS — SEPTEMBER 15 CLOTURE VOTE

CLARITY ACT PASSAGE ODDS — 2026

Jan 2026

90%

After House 294-134 pass

May 2026

75%

Senate Banking 15-9

Jun 2026

48%

Ethics provisions, Dem loss

Aug 7

28%

Recess without vote

Today

10%

Galaxy/Alex Thorn: 10%

WHY THE ODDS COLLAPSED

- Ethics provisions added July 22 lost Democratic crossover votes
- August 7 recess without cloture proved Thune doesn't have 60
- September 8 return faces appropriations competition for floor time
- Atkins agency guidance reduces political urgency for Senators
- 60-vote threshold still needs 7-9 Democratic crossovers

WHAT HAPPENS IF IT FAILS SEP 15

- Year-end appropriations rider: most realistic path
- 2027 standalone vote if appropriations rider fails
- Atkins agency guidance fills the functional gap
- Institutional demand continues regardless — ETFs prove it
- Market-structure law likely 2027; enactment ~mid-2027

Galaxy's Alex Thorn: 10% odds (from 75% in May). Prediction markets: ~17%. September 15 cloture vote — same day FOMC pre-meeting blackout begins. Watch for Thune's floor strategy.

BITCOIN TECHNICAL: \$65,600 BROKEN — \$70K NOW THE TARGET

KEY PRICE LEVELS

\$72-75K

Distribution zone from cycle down

\$70K (current)

Psychological + 200-day MA (\$69,884)

\$69,500

Current price — approaching 200d MA

\$66,600

Inv. H&S neckline — now SUPPORT

\$65,600

50-month EMA — broken; now SUPPORT

\$62-65K

155K BTC cost basis — now PROFITABLE

\$60,000

Psychological floor; strong structure

WHAT CHANGED: THE STRUCTURAL SHIFT

- 50-month EMA at \$65,600 cleared — first sustained break all year
- 155K BTC in \$62-65K cost basis now profitable → holders less likely to sell
- \$66,600 (inv. H&S neckline) cleared → now acts as support
- 200-day MA at \$69,884 is the next test — essentially at current price
- First time since Oct 2025 cycle high BTC has a real path to \$75K+

THE BREAKOUT RISKS

- Short-squeeze fuel exhausts → organic ETF demand must sustain
- Strategy may resume BTC selling at \$69,500+ (7 consecutive weeks)
- Oil at \$92 → August CPI re-accelerates → September hike back
- Nvidia beat-and-fade Aug 26 → AI risk-off → crypto sentiment
- \$65,600 must hold as support on any pullback to confirm breakout

ETHEREUM +18%: WHAT THE ALTCOIN RALLY SIGNALS

Ethereum

\$2,250

+18% in 24 hours | ETH ETFs: \$189M (biggest since Oct 2025)

XRP

+10%+

JH payments theme proxy

Solana

+10%+

Institutional favorites

Market Cap

\$2.45T

+7.8% in 24h

Why ETH's move is a different signal than Bitcoin's

Bitcoin's rally = dollar debasement + short squeeze. Both are Bitcoin-specific narratives. ETH's +18% on \$189M in single-day ETF inflows is a different signal: institutional allocation to the digital asset PLATFORM, not just the macro hedge.

When institutional money rotates to ETH, it's making a bet on smart contracts, DeFi, and tokenized assets — not just scarce digital gold. The SEC's proposed regulatory framework and Atkins' DeFi safe harbor make ETH the most directly exposed asset to a positive US regulatory outcome.

What XRP's move signals about Jackson Hole positioning

XRP is the most directly connected crypto asset to the payments infrastructure theme at Jackson Hole. The symposium's theme is 'Financial Innovation: Implications for Payments and Policy.' That's XRP's core use case: cross-border payments.

XRP at \$1.10+ in the week before JH is the market positioning for Warsh to say something substantive about digital payments. If Warsh addresses payment infrastructure at all, XRP is the first and most obvious beneficiary. The positioning is rational anticipation.

JACKSON HOLE — 7 DAYS — THE HARDEST SPEECH WARSH HAS FACED

7

DAYS

Aug 27-29

Kalkine Research: 'Warsh steps to the podium into a genuine stagflationary bind — tariff-driven cost pressure AND war-driven energy risk. Two independent supply-side shocks at once. Considerably harder than either alone.'

- Inflation still above target:** CPI 3.4%, core 2.5% — looks better. But Brent \$92 in Aug means Aug CPI re-accelerates. Last JH data shows inflation wasn't solved.
- Labor market visibly cooling:** -23K July jobs; wages 3.2%. Three dissenters wanted to hike anyway. Softening is real but dissenters aren't wrong.
- 30-yr yield near 20-yr highs:** Even post-Bessent, 30-yr at 5.196%. Bond market's message: inflation credibility is still in question.

THE SEQUENCE FEEDING WARSH'S SPEECH

Aug 26 8:30am

July PCE

Last inflation before JH

Aug 26 After Close

Nvidia Q2

AI trade mood setter

Aug 28 Fri AM

Warsh Keynote

The tiebreaker speech

Sep 4

August NFP

Post-JH labor read

Sep 10-12

August CPI

\$92 oil baked in here

Sep 16-17

FOMC

Everything feeds here

THREE JACKSON HOLE SCENARIOS FOR BITCOIN

01

25% probability

Warsh Hawkish

Inflation credibility focus

- Emphasizes persistent inflation overshoot; notes oil (Brent \$92) as unresolved upside risk
- Signals September as a live meeting; says any re-acceleration in August CPI warrants action
- Hike odds move from 31-33% back toward 50%; dollar rallies; yields rise
- BTC retreats to \$65,600-66,600. Short-squeeze gains partially reversed. Test of the new support.
- Macro precondition: oil stays \$90+ into Aug 28; PCE hot on Aug 26; no Iran-Oman deal

02

55% probability

Warsh Balanced

Data-dependent, no commitment

- Acknowledges July labor weakness (-23K) and wage deceleration (3.2%) as genuine signals
- Notes that oil-driven inflation is supply-side, not demand-side — harder to fight with rate hikes
- Data-dependent, hold-leaning tone; September remains a live meeting but hold is implied
- BTC holds above \$70K; September hold stays at 67-69%; rally consolidates; targets \$72-75K
- Macro precondition: PCE in-line Aug 26; Nvidia holds after earnings; oil doesn't spike further

03

20% probability

Warsh Addresses Digital Assets

Historic first from JH stage

- Uses the JH theme to outline Fed's thinking on stablecoins, CBDCs, digital payment rails
- Frames Bitcoin's role in the payment system — even cautiously — from the JH podium
- No prior Fed Chair has directly addressed crypto from Jackson Hole. This would be historically unprecedented.
- Crypto sector re-rates regardless of rate tone. ETH/XRP/SOL may outperform BTC on this outcome.
- Macro precondition: any of the above; the rate backdrop matters less than the content of what he says

OUTLOOK: THE 14-DAY GAUNTLET THAT DEFINES THE YEAR

Aug 20

01

Oil + Iran

The Swing Variable

- Aug 17 MOU expiry → escalation in progress. Brent \$92. UAE isolated Iran economically. Trump threatened Oman.
- August oil average determines August CPI (Sep 12). Oil above \$90 average = energy re-acceleration = September hike risk returns.
- Bull case: Iran-Oman bilateral closes → Brent \$82-85 → Aug CPI disinflationary → Sept hold locked in above 70%.
- Watch every headline from Tehran, Muscat, Abu Dhabi. Oil is the master variable.

02

Nvidia Aug 26 + PCE Aug 26

The 24-Hour Verdict

- PCE 8:30am: Fed's preferred gauge. Watch core ex-energy. Portfolio mgmt services +6.5% in PPI = risk to upside.
- Nvidia after close: third AI earnings test. Cisco beat-fell, AMAT beat-fell. Nvidia beat-hold = AI alive. Beat-fade = exhaustion confirmed.
- The interaction: Nvidia sets risk mood going into Warsh's morning keynote. Best case: PCE soft + Nvidia beats and holds.
- Worst case: PCE hot + Nvidia fades → risk-off entering JH → Warsh hawkish lean amplified.

03

Warsh Aug 28 + Sept FOMC

The Rate Tiebreaker

- Warsh's first JH keynote as Chair. 20 minutes. 19 days before September FOMC. Scenario 1 (25%): hawkish → \$65,600 test. Scenario 2 (55%): balanced → BTC holds \$70K. Scenario 3 (20%): addresses digital assets → historic first.
- September 15: CLARITY Act cloture vote. Galaxy: 10%. Prediction markets: 17%. If it fails, year-end appropriations rider is next.
- September 16-17: FOMC. 31-33% hike / 67-69% hold. All of above feeds this one decision.
- Bitcoin at \$69,500 today is the best technical setup since Oct 2025. The breakout is real. The risks are also real. This 14-day window decides which one wins.